

there is Swiggy Instamart and Zepto) may give you lower revenue per item, but it also moves quickly and assortment between stores must be different,” says Dhindsa, 41. In terms of a strategic fit, Zomato understood areas such as how much to charge and the service parameters, while Blinkit had grasped the nuances of brands, apart from sourcing, warehousing, and replenishment.

THE QUICK MANTRA

The 10-minute delivery concept was initially to address urgent needs like Band-Aid. Now, besides groceries and household goods, it also offers things like printouts, passport photographs and even *kurtas*! “A lot of it comes down to prioritisation and the outcome of customers telling us what they want,” says Dhindsa. Blinkit is more commerce and less about services, adds Akshant. “The product assortment is key and that means we may not sell a mobile [phone] but will offer a mobile charger.”

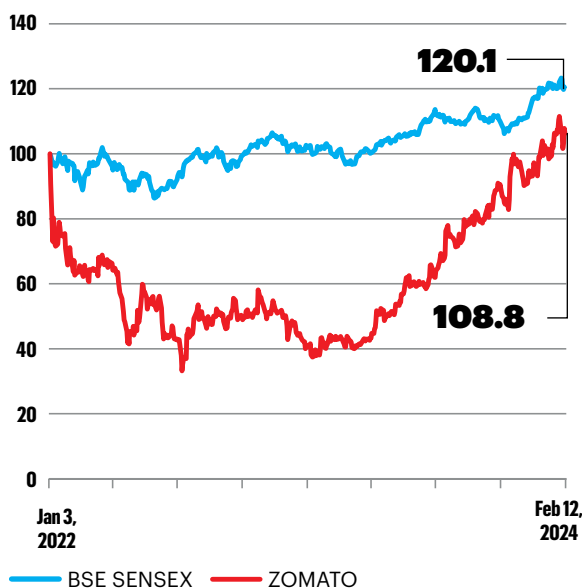
The idea of quick commerce is simple, but execution is the key. And execution is oft repeated when Zomato is discussed. Sanjeev Bikhchandani, Founder & Executive Vice Chairman of Info Edge, the holding company of jobs portal Naukri.com—the first investor in Zomato—picks execution as a differentiator for the Goyal-led company. “It is also true in the case of Blinkit and it is clear that there is a very good understanding of delivery networks,” says Bikhchandani. Blinkit was initially a model based on same-day delivery before moving to the 10-minute concept. “It managed to reorient the business and the next phase for Blinkit will be about scaling up. Execution for Zomato and its businesses will remain critical, and they must continue to do that well.”

Bikhchandani recalls that when he invested in Zomato in 2010, what clinched it was Goyal’s down-to-earth approach with clarity on both the product and the customer. “We put in a small amount of money initially (₹4.5 crore) and went solo for the first four rounds before Peak XV (then Sequoia) came in. For the first 10 years, Zomato did only restaurant listing, and credit must be given to [them for] getting it right on food delivery (they ventured into this in 2018) after coming from behind.”

This flexibility of strategy is another of Zomato’s strengths. K.S. Narayanan, an independent food advisor, also mentions how it pivoted to food delivery. “They have successfully built their main business around it and are one of the two players present nationally (Swiggy is the other one),” he says. With an advanced data analytics platform, there is a better understanding of customer preferences. “As a result, they brought in Hyperpure as a platform to assist restaurants in their food and non-food purchases. As the food services sector gets more organised, the emerging business opportunity is what Hyper-

GAINING GROUND

- The Zomato stock has been volatile, but has shown a sharp upward trend in recent times
- While the Sensex has gained 20% since January 2022, Zomato has risen about 9%



DATA HAS BEEN INDEXED TO 100; SOURCE ACE EQUITY

36 | Goyal-led company. “It is also true in the case of Blinkit and it is clear that there is a very good understanding of delivery networks,” says Bikhchandani. Blinkit was initially a model based on same-day delivery before moving to the 10-minute concept. “It managed to reorient the business and the next phase for Blinkit will be about scaling up. Execution for Zomato and its businesses will remain critical, and they must continue to do that well.”

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pure is looking to fulfil,” he says. In developed markets, the likes of Sysco and US Foods operate with scale in this space. Of course, a larger Zomato with multiple businesses gives it the strength to negotiate harder. “With Blinkit and Hyperpure, they should have better terms of trade with their supplier partners, utilise delivery networks in more concentrated geographies and derive more efficiency from the dark stores,” says Narayanan.

FOOD DELIVERY AND MORE

Coming back to food delivery, it has been a difficult business in the best of times. Over the past 15 years, the likes of Just Eat, Tasty Khana and TinyOwl shut shop, while Zomato acquired Uber Eats and Swiggy gobbled up Scootsy. Rakesh Ranjan, CEO (Food Delivery) at Zomato, believes the next frontier will come from outside the top 15-20 cities, which today bring in 50-60% of the business. “The 280 cities in the long tail (Zomato operates in 685 cities in all) give me another 10-12%,” he says. On a recent visit to Lucknow, for instance, he met a restaurant owner who clocks revenues of around ₹18 lakh per month through his cloud kitchen. “In Delhi, doing ₹10-12 lakh [per month] is healthy. Our top three or four cities have grown by 30-40% each year and it is clear that the middle set will now take off,” the 39-year-old adds.

Going by research reports, Zomato has a 55% market share and leads Swiggy at 45%. The latter is still in the